

# Hard Lessons

**As the child rights commission pulls up BYJU'S for its alleged exploitative sales practices, the edtech giant has proposed an action plan to establish fairness. But will that be enough?**

**BY BINU PAUL**

20 | **▶ BYJU'S, THE WORLD'S** most-valued edtech company, has been looking for a sense of calm throughout 2022. And just when it seemed like it was entering a phase of relative calm after it conducted mass layoffs to focus on capital-efficient growth, the Bengaluru-based firm found itself being pulled up by the National Commission for Protection of Child Rights (NCPCR) over alleged hard-selling and mis-selling of its courses to students. The child rights body summoned BYJU'S after it took cognizance of a report that alleged that the edtech major was pushing households to take heavy debts and exploiting students.

Appearing before the commission, BYJU'S denied the allegations and said it follows a triple-layered audit mechanism to ensure that its sales staff doesn't pursue customers who are uninterested in or unable to pay for its products.

However, NCPCR says that the company has submitted that it will conduct an affordability test to ensure that its courses are not sold to customers whose income is below

₹25,000 a month, and that it will pay back the fees collected from parents who would have failed the affordability test.

Industry watchers say the submission does little to address the allegations against the company. For instance, how does the company plan to conduct the affordability test, or what tools, formats, platforms and data would be used to determine the income status of a customer, they ask, adding that there are no answers.

"This [the affordability test] is doable, but the question is, does the company genuinely want to do it? You can assess the bank statement or pay slips of the customers to determine the income levels. What if the parent is self-employed? What would you do with customers who may not have relevant documents or be unwilling to share those?" asks the founder of a fintech start-up that works with edtech companies.

NCPCR Chairperson Priyank Kanoongo tells *BT* that the company would be carrying out the affordability test directly with its custom-

ers. Experts fear that an affordability test by the company would be nothing more than a column in the sales form that the customers would inadvertently sign off.

An affordability test is not a common practice among edtech firms in India, which are struggling to keep up the growth momentum after the pandemic-led boom. BYJU'S has said it does not directly offer loans to its users but connects parents to third-party banks and financial institutions.

In a normal scenario, a lender would conduct an affordability test as a standard protocol at its end irrespective of whether its edtech partner has done the checks or not. However, there is a catch. According to sources *BT* spoke to, many edtech companies, especially in the K12 space, have been operating on shady partnerships with financial institutions wherein they demand as many loan approvals as possible irrespective of the financial status of customers. In return, the heavily capitalised start-ups act as guarantors and foot the bill if the customer fails to pay back in time.

BYJU'S had earlier stated that the First Loss Deposit Guarantee (FLDG)—an arrangement between a third-party entity and a financial institution whereby the former guarantees to compensate the lender if the borrower defaults—is an accepted industry practice. "Were it not for FLDG, the majority of consumer parents would not have been able to raise personal loans from banks and financial institutions at

## AFFORDABLE OR NOT?

▶ **The National Commission for Protection of Child Rights (NCPCR) summoned BYJU'S over allegations of hard-selling and mis-selling its products to parents and children to increase its sales numbers**

▶ **BYJU'S has denied the allegations. NCPCR says BYJU'S will conduct parents' affordability test before selling courses, and refund those whose monthly income is below ₹25,000**